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A train ride in India was once incomplete without the rattle of a passing coal-laden goods train. Throughout the 1990s, it was a familiar sight: black trains disappearing into the distance, leaving behind dust and diesel as they trudged along with unhurried intent. Coal was the fuel for progress, and rail the preferred carrier. Three decades on, while coal still holds its place, the railways are transporting far fewer commodities than before. Steel, iron and cement companies, which were once massive users of the rail network, have discovered a faster and more convenient way to transport their goods—trucks. Despite big bets involving billions of dollars, such as the Dedicated Freight Corridor (DFC), the share of trains in overall goods

movement has stubbornly refused to budge. Even the movement of foreign containers is declining.

The rail network is vital for carrying bulk commodities needed by industry and energy producers—coal for thermal power plants, iron ore, coking coal and limestone for steel plants, finished steel for manufacturing and construction, cement, food grains for national distribution, fertilizers for agriculture, and refined petroleum products for use by the common man. Also, freight earnings contribute 60-65% to the railways' top line and are the backbone of its finances, allowing it to subsidise passenger fares.

Can the railways regain its lost territory? Does it have the time, and the instruments, to do so?

WHAT'S AILING?

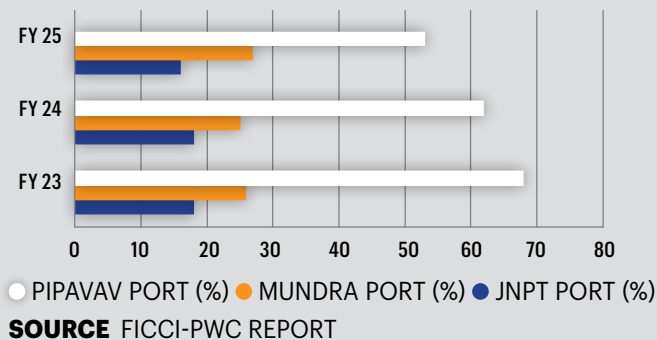
India transports around 6.3 billion tonnes of freight in a year. The annualised growth is roughly 6%. However, the share of railways in freight has remained around 26% over the last decade. In FY25, the growth was a mere 1.68% year-on-year, the lowest in the last five years, due to a decline in loading of most commodities.

Coal production grew 7.28% in 2024 compared to 8.2% in 2023 as the country's energy demand touched a record 1,039.59 million tonnes (MT). Coal makes up for over 50% of the railways' freight basket. The other half is non-coal freight, consisting of cement, iron,

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KEY PORTS IN WEST INDIA REDUCE USE OF RAIL INFRASTRUCTURE

- There has been a drop of 0.5% in EXIM container freight growth
- Need to improve rail operations at ports



THE LONG ROAD

- Road dominates; railways have a long way to catch up

- ROAD
- RAIL
- WATER/ PIPELINE
- AIR

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REPORT

